

Sri M K Nagendra Kumar vs State By Central Bureau Of ... on 12 July, 2012

Author: Anand Byrareddy

Bench: Anand Byrareddy

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IN THE HIGH COURT OF KARNATAKA AT BANGALORE

DATED THIS THE 12TH DAY OF JULY 2012

BEFORE

THE HON'BLE MR. JUSTICE ANAND BYRAREDDY

CRIMINAL APPEAL No. 539 OF 2008

CONNECTED WITH

CRIMINAL APPEAL No.542 OF 2008

CRIMINAL APPEAL No.506 OF 2008

IN CRIMINAL APPEAL No.539 OF 2008

BETWEEN:

Sri. M.K.Nagendra Kumar,
Aged about 38 years,
Sr. Clerk (Stores),
C/of the Chief Engineer Construction,
Southern Railway,
Bangalore Contonment,
Bangalore. ...APPELLANT

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(By Shri. H.N. Venkatesh, Advocate and Shri. Chandrashekara. K,
Advocate is appointed as Amicus Curiae)

AND:

State by Central Bureau
of Investigation,
Bangalore. ...RESPONDENT
(By Shri. Prasanna Kumar, Advocate for Shri. C.H.Jadhav,

Advocate)

This Criminal Appeal filed under Section 374 Code of Criminal Procedure, 1973, by the Advocate for the appellant praying that this Hon'ble Court may be pleased to call for the records from XXI Additional City Civil and Sessions Judge and special Judge for CBI Cases, Bangalore and set aside the judgment and sentence of conviction dated 8.4.2008 in Spl.C.C.No.165/1995 on the file of the XXI Additional City Civil and Sessions Judge and Special Judge for CBI Cases, Bangalore and further pleased to acquit the appellant (accused) of the alleged offence under Section 120-B read with Sections 403, 420, 467, 468 and 471 of Indian Penal Code and 13(1) (c) and (d) of the Prevention of Corruption Act, 1988.

IN CRIMINAL APPEAL No.542 of 2008

BETWEEN:

1. Sri. G.N.Rao,
Chief Executive Engineer,

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C/o. the Chief Engineer,
Construction, Southern Railway,
Bangalore Contonment,
Bangalore.

2. Sri. S.Ramanujam,
Assistant Bridge Engineer,
Office of the Chief Engineer,
Construction, Southern Railway,
Bangalore Contonment,
Bangalore.

...APPELLANTS

(By Shri. B.Anand, Advocate)

AND:

State of Karnataka,
Through Central Bureau of
Investigation,
Bangalore.

...RESPONDENT

(By Shri. Prasanna Kumar, Advocate for Shri. C.H.Jadhav, Advocate)

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This Criminal Appeal is filed under Section 374 Criminal Procedure Code, 1973, by the advocate for the appellants praying that this Hon'ble Court may be pleased to set aside the order of conviction and sentence dated 8.4.2008, passed by the XXI Additional City Civil and Sessions Judge and Special Judge for CBI Cases, Bangalore in Spl. C.C.No.165/1995.

IN CRIMINAL APPEAL NO.506 OF 2008

BETWEEN:

A.Anantharamu,
Assistant Engineer,
Office of the Chief Engineer,
Constructions,
Southern Railway , Bangalore,
Cantonment,
Bangalore.

...APPELLANT

(By Shri. G.Jairaj, Advocate for M/s. G.Jairaj and Associates)

AND:

State of Karnataka
Through Central Bureau of
Investigation,
Bangalore.

...RESPONDENT

(By Shri. C.H.Jadhav, Advocate)

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This Criminal Appeal filed under Section 374 Criminal Procedure Code, 1973, by the advocate for the appellant praying that this Hon'ble Court may be pleased to set aside the judgment and order of sentence dated 8.4.2008 passed by the XXI Additional City Civil and Sessions Judge and Special Judge for CBI Cases at Bangalore in Special Criminal Case No.165/1995.

These Criminal Appeals having been heard and reserved on 27.06.2012 and coming on for 'Pronouncement of judgment' this day the court delivered the following

JUDGMENT

These appeals are heard and disposed of together as they are all filed by the accused in the same case. The appeal in CrI.A.539/2008 is filed by accused no.2, CrI.A.No.506/2008 is filed by accused no.3 and CrI.A 542/2008 is filed by accused no.4.

2. The facts are as follows :-

It was the case of the prosecution that accused no.1, who is no more, as he had died during the pendency of the proceedings, before the trial court, was working as an Executive Engineer in the Southern Railway, Bangalore Cantonment. Accused no.2 was a Senior Clerk working in the office of the Chief Engineer - Construction - Southern Railway. Accused no.3 was an Assistant Engineer, Accused no.4 was an Executive Engineer and Accused no.5 was an Assistant Bridge Engineer, in the same office. In the year 1990-91, the prosecution claimed that there was a criminal conspiracy between the above accused to defraud the Railways in the matter pertaining to payment of motor vehicle tax and repair charges and purchase of spare parts relating to the motor vehicles of the department. It was alleged that accused no.2 had initiated 32 Pay Orders totalling to a sum of Rs.5,19,450/- and the amount was withdrawn. The Pay Orders raised were in respect of non-existent vehicles and the amount was never committed to the Regional Transport Office in respect of the purported tax liability and therefore it was alleged that the money was misappropriated. It was further alleged that the accused had prepared 22 supplementary bills totalling to a sum of Rs.7,99,694/-, indicating that the amount related to repair charges and purchase of spare parts relating to certain vehicles, which also did not belong to either the Government of India or the Railways and it was credited to the account held in the name of three non-existent firms, in the Canara Bank, V V Puram Branch. It is alleged that the accounts were opened in the name of three non-existent firms by the accused and accordingly they had misappropriated the amount. More particularly, it was alleged that accused no.3, in furtherance of a criminal conspiracy received an amount of Rs.14,625/- drawn towards one Pay Order relating to payment of road tax in respect of vehicle no.APA 8941 and another sum of Rs.14,625/- for the very purpose of payment of tax in respect of vehicle bearing No.MYH 9395 and yet another sum of Rs.14,625/- in respect of vehicle bearing No.CAH 5498 and had misappropriated the amount. The total amount thus illegally received by accused no.3 was Rs.43,875/-.

Insofar as accused no.4 was concerned, he had initiated three Pay Orders for Rs.16,922/-, Rs.20,100/- and Rs.17,078/- purportedly towards the payment of motor vehicle tax in respect of three non-existent vehicles, namely, AAA 3964, CAY 6285 and MYH 3191 and he had further initiated supplementary bills for payment of repair charges and purchase of spare parts totalling to Rs.2,17,575/- in respect of five non-existent motor vehicles. It was alleged that he had also received the proceeds of Pay Orders amounting to Rs.15,600/- and another Pay Order of Rs.15,600/- in the name of road tax in respect of non-existent vehicles. He had thus misappropriated the said sums of money. He had also received a total sum of Rs.2,04,922/- towards repair and purchase of spare parts in respect of non-existent vehicles and this amount was credited to the account of accused no.2, in Canara Bank, V V Puram Branch and thereby facilitated accused no.2 to withdraw the said amount. It was further alleged that accused no.4 certified as true copies, certain forged documents in respect of the supplementary bills relating to the non-existent vehicles. It was on this basis that a charge sheet was filed and the accused having pleaded not guilty and having claimed to be tried, the prosecution had examined 27 witnesses and produced and marked Exhibits P.1 to P.336(a) and Mos.1 to 9 and the defence had examined one witness and exhibited Exhibit D.1.

3. On the basis of the material evidence produced and the rival contentions, the court below had framed the following points for consideration :-

"1. Whether the Prosecution proves that valid Sanction Order under Section 19 Cr.P.C. has been obtained?

or alternatively, no Sanction Order is required in respect of any of the accused in this case?

2. Whether Prosecution proves that in furtherance of the criminal conspiracy, the accused have committed the offence of cheating, within the meaning of Section 420 of the Indian Penal Code?

3. Whether Prosecution further proves that the accused have committed the offence of criminal mis-appropriation, punishable under Section 403 of the Indian Penal Code, in furtherance of the criminal conspiracy to commit the said offence?

4. Whether Prosecution further proves that the accused have committed the offence of criminal breach of trust, punishable under Section 409 Indian Penal Code in furtherance of the criminal conspiracy to commit the said offence?

5. Whether Prosecution further proves that the accused have committed the offence of cheating by forgery, punishable under Section 468 of the Indian Penal Code?

6. Whether Prosecution further proves that the accused have committed the offence of cheating punishable under Section 420 of the Indian Penal Code?

7. Whether Prosecution further proves that accused have committed the offence of use of forged document as genuine, punishable under Section 471 of the Indian Penal Code?

8. Whether Prosecution further proves that the accused have committed the offence of criminal mis-conduct punishable either under Section 13(1) (d) or 13(1) (c) of the Prevention of Corruption Act?

9. Whether Prosecution further proves that the accused have committed the offence of criminal conspiracy punishable under Section 120B of the Indian Penal Code?

10. What Order? "

4. The court below has answered all the points in the affirmative except point no.4 and convicted accused no.2 for an offence punishable under Section 420 of the Indian Penal Code, 1860 (Hereinafter referred to as the 'IPC' for brevity) and sentenced him to undergo rigorous imprisonment for a period of 3 years and to pay a fine of Rs.50,000/-; for an offence under Section

403 of the IPC, he was sentenced to undergo rigorous imprisonment for a period of 2 years and to pay a fine of Rs.50,000/-; for an offence under Section 468 of the IPC, he was sentenced to undergo rigorous imprisonment for a period of 2 years and to pay a fine of Rs.25,000/-; for an offence under Section 471 of the IPC, he was sentenced to undergo rigorous imprisonment for a period of 2 years and to pay a fine of Rs.25,000/- and for an offence under Section 13(2) read with Section 13(1)(c) of the PC Act, accused no.2 was sentenced to undergo rigorous imprisonment for a period of 2 years and to pay a fine of Rs.35,000/- .

Accused No.3 was convicted for an offence under Section 420 of the IPC and was sentenced to undergo rigorous imprisonment for a period of 1 year and to pay a fine of Rs.50,000/-; for an offence under Section 403 of the IPC, accused no.3 was sentenced to undergo rigorous imprisonment for a period of 1 year and to pay a fine of Rs.50,000/-; for an offence under Section 468 of the IPC, he was sentenced to undergo rigorous imprisonment for a period of 1 year and to pay a fine of Rs.25,000/-; for an offence under Section 471 of the IPC, he was sentenced to undergo rigorous imprisonment for a period of 6 months and to pay a fine of Rs.25,000/- and for an offence under Section 13(2) read with 13(1)(c) of the PC Act, he was sentenced to undergo rigorous imprisonment for a period of 1 year and to pay a fine of Rs.35,000/-.

Accused no.4 was convicted for an offence under Section 420 of the IPC and sentenced to undergo rigorous imprisonment for a period of 1 year and to pay a fine of Rs.50,000/-; for an offence under Section 403 of the IPC, he was sentenced to undergo rigorous imprisonment for a period of 1 year and to pay a fine of Rs.50,000/-; for an offence under Section 468 of the IPC, he was sentenced to undergo rigorous imprisonment for a period of 1 year and to pay a fine of Rs.25,000/-; for an offence under Section 471 of the IPC, he was sentenced to undergo rigorous imprisonment for a period of 6 months and to pay a fine of Rs.25,000/- and for an offence under Section 13(2) read with 13(1)(c) of PC Act, 1988, he was sentenced to undergo rigorous imprisonment for a period of 1 year and to pay a fine of Rs.35,000/-.

Accused no.5 also was convicted and he was sentenced to undergo rigorous imprisonment for a period of one year and also to pay a fine of Rs.50,000/- for an offence punishable under Section 420 IPC; for an offence punishable under Section 403 IPC, to undergo rigorous punishment for a period of one year and also to pay a fine of Rs.50,000/-; for an offence punishable under Section 468 IPC, to undergo rigorous punishment for a period of one year and also to pay a fine of Rs.25,000/-; for an offence punishable under Section 471 IPC, to undergo rigorous imprisonment for a period of six months and also to pay a fine of Rs.25,000/- and for an offence punishable under Section 13(2) read with Section 13(1)(c) of the PC Act, to undergo rigorous imprisonment for a period of one year and also to pay a fine of Rs.35,000/-. The sentences were to run concurrently. It is accused nos.2, 3, 4 and 5 who are now before this court questioning the judgment of the trial court.

5. The learned Counsel for the appellant - accused no.3 in Criminal Appeal No.506/2008 would contend that there was no basis for the court below to have held that the charges against the said accused no.3 has been established beyond all reasonable doubt. The learned counsel would point out that mere identification of the signatures of accused no.3 on the Pay Orders in question, by itself, would not be evidence of receipt of payment by him, having due regard to the procedure that was

adopted insofar as such Pay Orders were concerned. Normally, it is the dealing clerk himself who receives money and makes such payment. Insofar as the details of the amount said to have been received by the present appellant - accused no.3 are indicated at Annexure-III to the judgment which is as follows: -

"ANNEXURE-III The total amount received by each of the accused as against the pay orders.

Sl. No.	Name of the Accused	Exhibit No. of Pay order	Amount
1	A-3 Anantharam	Ex.P.1	Rs.14,625/-
2	-do-	Ex.P.2	Rs.14,625/-
3	-do-	Ex.P.3	Rs.14,625/-
4	-do-	Ex.P.4	Rs.14,625/-
5	-do-	Ex.P.8	Rs.16,625/-
6	-do-	Ex.P.10	Rs.14,625/-
7	-do-	Ex.P.12	Rs.17,125/-
8	-do-	Ex.P.17	Rs.20,001/-
9	-do-	Ex.P.19	Rs.16,922/-
10	-do-	Ex.P.21	Rs.17,078/-
11	-do-	Ex.P.22	Rs.16,922/-
12	-do-	Ex.P.24	Rs.14,625/-
13	-do-	Ex.P.26	Rs.12,999/-
14	-do-	Ex.P.47	Rs. 9,700/-
		TOTAL	Rs.2,15,122/-

The learned counsel would point out that in the entire body of the judgment, the only finding that is arrived at insofar as these payments having been received by the appellant, is on the basis of the signature of the appellant - accused no.3 having been identified by a witness PW.1, as recorded at Page-48 of the judgment. The learned counsel would point out that the allegation of accused no.3, the appellant herein, having received payments under Exhibits P.1, P.2 and P.3 towards the tax in respect of vehicles bearing Nos.APH 9495 and CAH 5438. But, as seen from the procedure for payment of road tax, as stated by PW.7 and PW.1, the Pay Orders are not initiated by the appellant, but it is the Stores Section which initiates the proposals through a dealing clerk. This is evident from the evidence of PWs 1 and 2 as well as PW.7. PW.19 has further endorsed that the Pay Orders were in order and correct when he passed them for payment. Insofar as the signatures of the appellant appearing on Exhibits P.1, P.2 and P.3 are concerned, PW.2, PW.17 and PW.25 have endorsed that as per the procedure that was generally followed in the department, the signatures of the officers holding similar posts as the accused were affixed symbolically, though no amount was physically received by them and it is the dealing clerk who actually receives the amounts in respect of such Pay Orders and this is evident from the fact

that the several other officers namely, Venkataraman, Deputy Chief Officer, Venkatasubramanyam, Executive Engineer have also signed the Pay orders adopting a similar procedure, in respect of which monies have been drawn and it is plain that the same has been misappropriated. This is evident from the evidence of PWs.1 and 2. PW.2 himself has followed the same procedure, as is evident from the signatures appearing on Exhibits P.31(a), P.30(a), and Ex.D1(a). PW.17 has followed the same procedure as he has found to have signed on Exhibit.P.51 and 53. It is further pointed out that the payment of road tax made by the dealing clerk is endorsed by PWs 1 and 2. It is further pointed out by the learned counsel that the Pay Orders were in order since it was subjected to internal and external audit and there are documents furnished by the dealing clerk for having made the payment of road tax.

Further, the learned Counsel would also point out that the history book of the vehicle which contains the payment of tax was not produced before the court. There is no evidence forthcoming as to the receipt of payment of money by accused no.3 and therefore in the absence of which, the said accused in his statement made under Section 313 of the Cr.P.C. has explained that the very signature appearing on the Pay Orders by itself could not have established charges against him and therefore in the absence of any eye-witness for accused no.3 having physically received the amounts and in the absence of any evidence to indicate that he had ultimately misappropriated the amounts and in the absence of any clear evidence against him of any complicity with any other accused, who may have been convicted for misappropriation of amount and who, in fact, is found to have opened fictitious accounts and misappropriated the amounts, it cannot be said that the prosecution had made out any case against accused no.3 and therefore, the allegation of conspiracy having been mechanically made against all the accused and on the basis of the evidence, which does not categorically establish the criminal intention and the complicity of accused no.3 in the alleged misappropriation of the amounts, the conviction of the accused results in a miscarriage of justice. Further it is pointed out that accused no.3 is now aged more than 80 and therefore there is a need for a closer consideration of the evidence, which is wholly inadequate to accept that the prosecution has made out a case beyond all reasonable doubt. The learned Counsel for the appellant in Crl.A.No.539/2008, which is an appeal by accused no.2, would contend that the entire proceedings against the said appellant are vitiated for want of a valid sanction order. The sanction order, which is at Exhibit P.329 was not issued by a competent authority, for it is found as a fact that the said authority was not competent to remove the appellant from his service nor was he the disciplinary authority. This is a finding of the court below. The court below by an order dated 18.11.2006, while disposing of an application seeking discharge, that notwithstanding the invalidity of the sanction order insofar as the above appellant is concerned, the court had opined that it would proceed to pass a judgment on merits pertaining to other accused persons, in respect of whom, the sanction order was found to be valid, but however, has pronounced the judgment on merits even as against the present appellant and therefore, this is a miscarriage of justice. The competent authority to issue a sanction order was the

Chief Engineer and not the General Manager. This having been found as a fact by the court below, the order suffers from an infirmity which goes to the root of the matter. Without prejudice to the above preliminary objection, on which ground alone, the appeal requires to be allowed, it is contended by the Counsel for the appellant that even on merits, the prosecution has failed to prove the guilt of the accused beyond all reasonable doubt. Having regard to the allegations made against the above appellant, which is enumerated hereinabove, the learned counsel would take this court through the record to demonstrate that there is no evidence to establish that the firms, in whose accounts various cheques are said to have been deposited have not been established to have been withdrawn. It is also pointed out that it was essential to place before the court irrefutable material to demonstrate that the accounts had, in fact, been opened by the above appellant. Ultimately, the requirement of examining, as a witness before the court, the person who is said to have introduced the appellant as representing his firm, has not been examined. The recipients of the proceeds of the cheques, who have issued receipts have not been examined nor the acknowledgements produced before the court. The transactions having been spread over a substantial period of time, it was necessary for the prosecution to have produced before the court the relevant Log books and audit reports to disclose the actual number of vehicles belonging to the Railways and whether there was any audit objection as regards irregular payments made. It is also pointed out that a significant statement made by PW.1, to the effect that one Rajeshwari was incharge of about six vehicles concerned, no further details are forthcoming and except stating that there were only three vehicles belonging to the Railways. The learned Counsel relies on the following authorities in support of his case:

1. M.P.State vs. Pradeep Kumar Gupta, AIR 2011 SC 2334,
2. Arun Kumar Agarwal vs. State of Madhya Pradesh, AIR 2011 SC 3056,
3. Mohd. Iqbal Ahmed vs. State of Andhra Pradesh, AIR 1979 SC 677,
4. Basappa vs. The State, 2010 (2) AIR Kar. R 413,
5. State of Karnataka vs. Ameer Jan, 2008 CRI L.J. 347,
6. State of Karnataka vs. Smt. Rasheed Begaum, Criminal Appeal No.873/1997 connected with Criminal Revision Petition No.545/1997,
7. Dillbag Singh vs. State of Punjab, AIR 1979 SC 680.

6. The learned Counsel for the appellant in Crl.A.542/2008, which is filed on behalf of accused nos.4 and 5, would seek to demonstrate that the evidence appearing against the appellants was inadequate and therefore, it cannot be said that the guilt had been proved beyond all reasonable doubt.

7. On the other hand, the learned counsel for the respondent- State represented by the Central Bureau of Investigation, would contend that the prosecution has totally examined 27 witnesses. The court below has analysed in great detail the evidence of each of the witnesses and the corresponding documents referred to by them, in holding that the charges against the accused have been proved beyond all reasonable doubt. The accused are all public servants employed in different capacities in the office of the Chief Engineer. They have by 32 Pay Orders totally valued at about Rs.5,19,490/- and by misuse of 22 suppliers' bills valued at Rs.7,99,694/- have withdrawn the money from the Railway Department Fund, on the ground that the said amount was required for payment of motor vehicle tax and towards repair charges and purchase of spare parts in respect of non-existent vehicles. Accused no.2, in the name of three fictitious firms, has deposited the amount relating to repair charges and purchase of spare parts and has misappropriated those amounts, apart from misappropriating the amounts directly received by him. While the other accused persons have directly received certain portion of the said amounts and misappropriated the same. Insofar as the non- existence of the vehicles and the manner in which the Pay Orders and Suppliers Bills were produced, it is evident that the particulars of the suppliers and non-payment of tax and the non-existence of such suppliers, has been cogently established by the evidence of the officers of the Regional Transport Office, who have placed evidence before the court, as to how many vehicles actually existed and how many were fictitious. Insofar as the spare parts and suppliers bills were concerned, the evidence of the Mechanic employed by the department has disclosed the actual number of vehicles that were available. Further, insofar the Pay Orders and the bills are concerned, it has been established that they are all in the handwriting of Accused no.2 and are duly signed by the other accused. These are extensively referred to and marked in evidence. The handwriting of each of the accused has been identified and there is no dispute about the said documents having been executed by them. Therefore, when the accused have indeed executed the documents and received payments thereof, since they have also acknowledged receipt of payment, wherever it is directly paid, the complicity, between the accused in effecting these fictitious transactions, is established beyond all reasonable doubt. The defence sought to be raised before this court by accused no.2 is basically with reference to the invalidity of the sanction order. Insofar as the contention on merits by the said accused is concerned, there is hardly any scope for addressing the so-called infirmities in the face of the overwhelming evidence which is not possible to be ignored or found fault with, as the act of accused no.2 is writ large in all the transactions as all the documents have emanated from him and insofar as the validity of the order of sanction is concerned, the law is well settled and the following authorities are cited in support of the case of the respondent:

1. Paul Varghese vs. State of Kerala and another, (2009) 1 SCC (Cri) 953,
2. State by Police Inspector vs. T.Venkatesh Murthy, AIR 2004 SC 5117,
3. Central Bureau of Investigation vs. V.K.Sehgal and another , 1999 SCC (Cri) 1494,
4. Subramanian Swamy vs. Manmohan Singh and another, (2012) SCC (Cri) 1041, Insofar as accused nos.3,4 and 5 seeking to contend that they were no doubt the signatories to the relevant documents, but have routinely affixed their signature and in actual practice, they would not have received the money directly and it is the

dealing clerk who would have received the money and in the absence of any material to demonstrate that they are the ultimate beneficiaries, it could not be said that the charges have been brought home beyond all reasonable doubt, is not a contention that is available, as the positions held by them, required them to supervise the transactions to ensure that there are no irregularities. The very purpose of endorsing the documents is this. For the accused to contend that it was the established practice for them to routinely affix their signatures, as is done by others, who are witnesses for the prosecution, is hardly a ground of defence that can be accepted. It is also contended that the plea of the accused that they are in the evening of their life and having regard to the long drawn out criminal proceedings, which they have suffered, the quantum of punishment be addressed and that the same may be reconsidered in their favour, is also not acceptable in the light of the law as laid down by the apex court time and again. The learned counsel seeks to place reliance on a decision of the apex court in the case of A.B.Bhaskara Rao vs. Inspector of Police, CBI Vishakapatnam, (2012) 1 SCC (Cri) 265, The learned counsel for the respondent would submit that the appeals be dismissed.

8. On a perusal of the record and in the light of the rival contentions, the glaring circumstance that appears against all the appellant-accused is that there is no denial of their respective signatures on the relevant documents, whereby they have acknowledged receipt of payment of amounts, which are alleged to have been misappropriated. Insofar as accused no.2 is concerned, his role however, is aggravated, in that, he has opened fictitious accounts and has deposited cheques in those fictitious accounts, the illegal benefit of which may or may not have extended to the other accused. It is apparently for this reason that accused no.2 has been visited far greater punishment than the other accused. Though the defence sought to be set up that the signatures of the accused found on the relevant documents have been routinely affixed and would not necessarily evidence the actual receipt of the personal benefit or that the same would establish misappropriation is not a defence that can be entertained. Though much effort is made to demonstrate that there were other officers against whom no action has been taken, even though they were also found to have carried on the same practice and even though loss must have occasioned to the department on account of such conduct of those officers, are not circumstances which would absolve the accused of their liability. Therefore, on merits, and on facts, there is little scope for the accused to challenge the findings of fact.

The plea for reduction of the quantum of punishment that is alternatively put-forth by the several accused also does not merit consideration having regard to the facts and circumstances of the case. That would leave the only other point for consideration namely, whether the finding of the trial court that the order of sanction for prosecution of accused no.2 was not granted by a competent authority and therefore, would vitiate the entire proceedings. No doubt it is true that accused no.2 had raised a preliminary objection as to the validity of the sanction and it has been found as a fact by the court below that the sanctioning authority was not the competent authority, but it had opined that the trial as against the other accused would have to proceed. However, in its final judgment, it has taken a view that notwithstanding the invalidity of the sanction order, the trial having run its course, there was no failure of justice that has occasioned on account of such invalid sanction

insofar as accused no.2 is concerned and therefore, has held that the proceedings against accused no.2 are also not vitiated.

In this regard, the learned counsel for the appellant -accused no.2 has cited several authorities to contend otherwise and draws attention to the judgment in Mohd.Iqbal Ahmed, supra, wherein the apex Court has observed that the grant of sanction is not an idle formality or an acrimonious exercise, but a solemn and sacrosanct act which affords protection to Government servants against frivolous prosecutions and must therefore be strictly complied with before any prosecution can be launched against the public servant concerned.

The learned Counsel also drew attention to a judgment of this court in Basappa, supra, wherein this Court has observed that the plea of validity or absence of sanction is required to be taken at the earliest stage, which accused no.2 had done and in the light of the trial court having found that the competent authority had not granted sanction, it has resulted in a grave miscarriage of justice. He has also placed reliance on other judgments cited, to contend that the illegality as regards want of sanction being evident, the entire proceedings against accused no.2 would have to be set at naught.

On the other hand, the learned Counsel for the respondent has pointed out from the authorities cited that want of valid sanction for prosecution is not a circumstance for reversal of conviction and sentence by the appellate court. Even though any such objection had been raised by the accused at the earliest point of time, the trial court itself having found that there was no failure of justice occasioned, thereby would certainly limit the scope of interference in appeal, especially since the accused has suffered a conviction and the role of the accused in the commission of the offences alleged has been established beyond all reasonable doubt. It is also contended that the absence or invalidity of sanction becomes immaterial once the trial has ended in conviction. The object of providing for sanction for prosecution is to save a public servant from frivolous, vindictive or mala fide prosecution and such sanction becomes meaningless, if on trial, he is, in fact, found guilty. The learned Counsel would submit that the phrase 'failure of justice' employed in Section 19 of the PC Act is too pliable an expression and the courts would necessarily have to examine whether indeed failure of justice has occasioned. It is also urged that the reduction or lenience in sentence cannot be considered where an offence under Section 7 and 13 of the PC Act are proved, unlike under the Prevention of Corruption Act, 1947, whereby there was a provision for relaxation of sentence. With the PC Act coming into force, such relaxation is not lawfully permissible as it is not contemplated in law. It is further contended that an error, omission or irregularity in the grant of sanction would not be fatal to the case of the prosecution unless it has resulted in failure of justice in the opinion of this court. The compliance with Section 19(1) of the PC Act is a matter of procedure and does not go to the root of the jurisdiction.

In the light of the law as laid down by the apex court, it cannot be said that even though the sanction for prosecution insofar as accused no.2 is concerned, is said to have been granted by an incompetent authority, but who was competent insofar as the other accused were concerned, and that was not under serious challenge by the other accused. In that view of the matter and having regard to the conviction of accused no.2, on the allegations against him having been established beyond all reasonable doubt, the validity of sanction becomes immaterial, as it does not result in any failure of

justice. In that view of the matter, these appeals are dismissed.

Sd/-

JUDGE nv